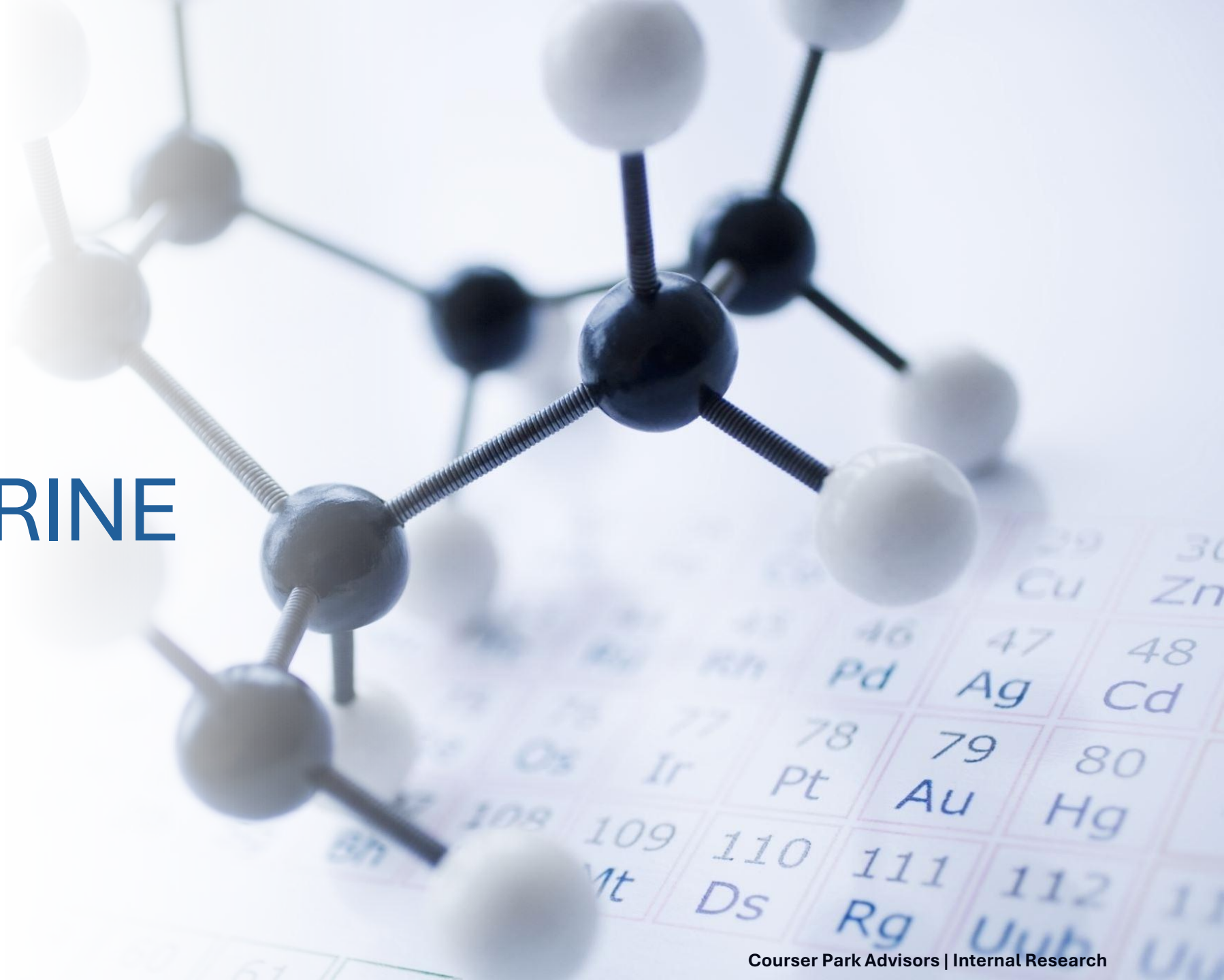


NAVIN FLUORINE

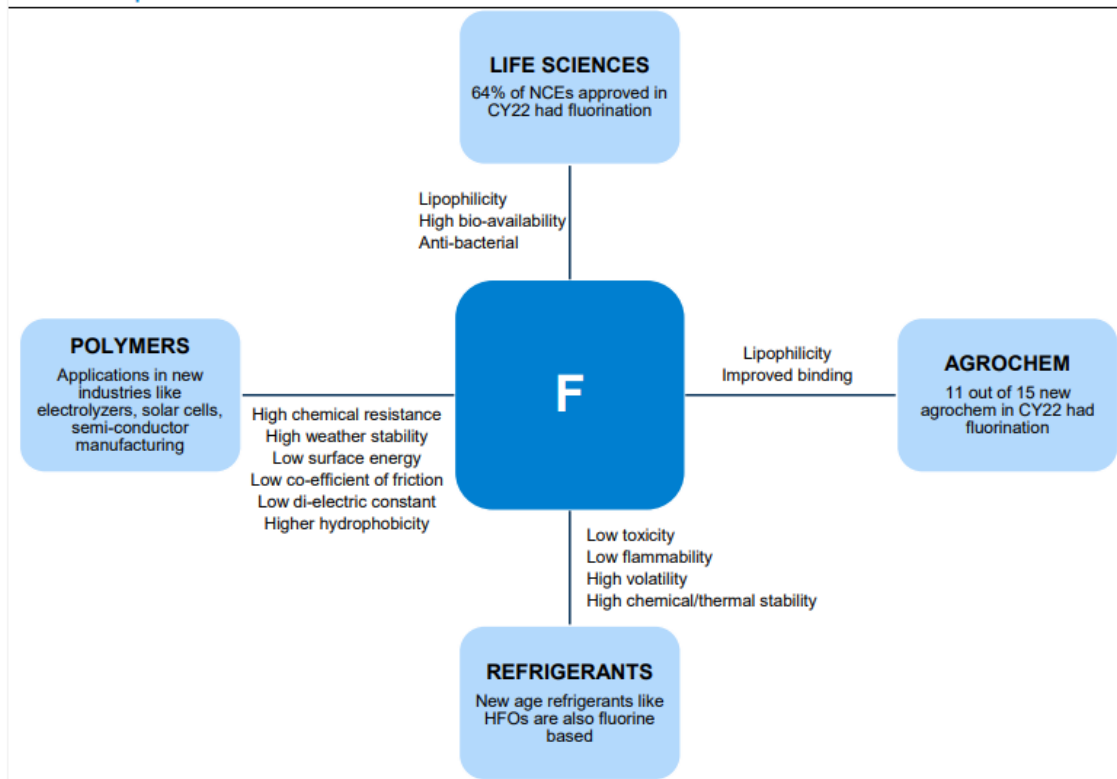


Thesis

- **Macro Structural Tailwinds:** Strongly positioned to capture the fluorination megatrend, where fluorine chemistry was utilized in 64% of pharma NCEs and 73% of new agrochem ISOs in 2022.
- **Monopolistic HFO Position:** First and only Indian manufacturer of 4th-generation HFO refrigerants; peak annual revenue guidance from the Honeywell contract remains secure at INR 450–460 crores.
- **Refrigerant Growth Tailwinds:** Favorable R32 near-term pricing dynamics driven by US/UK quota restrictions, coupled with highly resilient non-emissive R22 demand as critical industry intermediates.
- **Insulated Specialty Chemical Moat:** Protected from Chinese pricing pressures and global destocking headwinds because 65% to 70% of the segment's molecules are patented or innovator-backed.
- **High-Margin Specialty Chemical Pivot:** Strategically cutting low-margin generic pharma to scale AgChem to 85% of the segment mix, supported by a pipeline of 3 to 4 new molecule launches annually.
- **De-risking the High-Margin CDMO Vertical:** Shifting the product mix to a 50-50 or 60-40 commercial-to-early-stage ratio to eliminate historical revenue lumpiness and clinical trial drop-off volatility.
- **Robust CDMO Pipeline:** Growth visible from H2FY25 onwards, backed by an expanded \$40 million Fermion contract starting in CY25 and a directional target of a \$100 million revenue run-rate by FY27/FY28.
- **Margin Rebound & Premium Valuation:** EBITDA margins are troughing at 18% with a guided recovery to 24–25% as expansions commission in FY25/FY26; justifies a premium target exit PE of 52 over SRF due to lack of commodity drag and unique CDMO optionality.

Fluorination – Preferred Chemistry

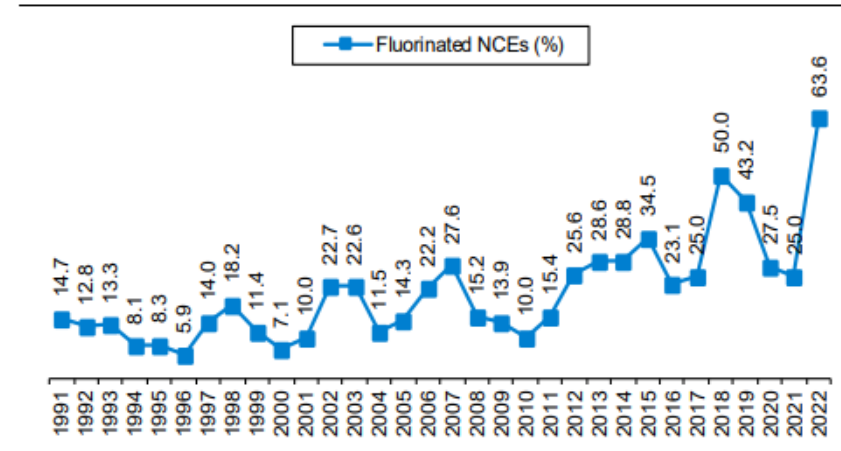
Exhibit 1: Properties of Fluorine



Source: Industry, PL

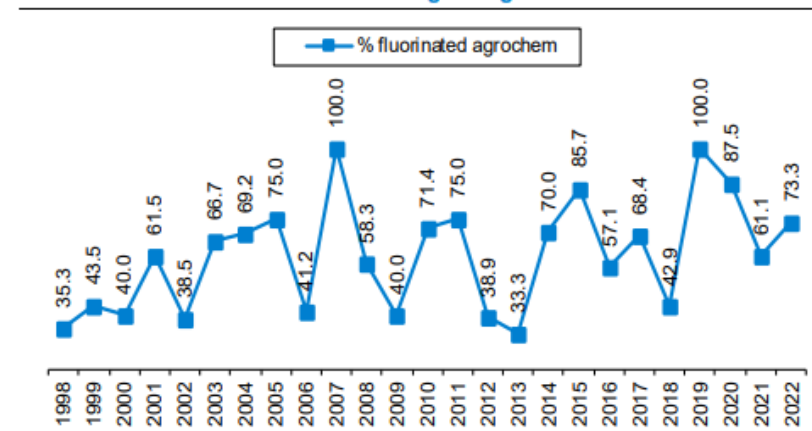
- 64% of Pharma NCEs approved in 2022 had fluorination chemistry.
- 73% of newly assigned ISOs for agrochemicals in 2022 made use of fluorination.
- **NFIL** in present in Refrigerants, Pharma and Agrochem

Exhibit 2: Fluorination finds increasing usage in drugs



Source: Industry, PL

Exhibit 8: Fluorination in new ISO assigned agrochemicals



Source: Industry, PL

Business Overview

Details

- Established: 1967 | Headquartered in Mumbai
- Mfg. units in Surat, Dewas and Dahej (NFASL)
- R&D operations in India and UK (Manchester Organics)
- Specialty chemicals diversification since 2007; CRAMS since 2011

CAPACITY EXPANSION

- Hydrofluoric acid capacity expansion
- Agrochemical specialty complex
- R32 refrigerant capacity addition
- cGMP plant (pharma-grade)
- Most expansions target FY25 / FY26 commissioning

KEY CUSTOMERS

Honeywell · Godrej · Piramal · Reliance · Tata Motors · LG · Samsung · Whirlpool · Voltas · Zydus · Hitachi · Blue Star · PI Industries · Advantec

Specialty Chemicals ~40% of revenue

- Fluorine-based intermediates for pharma & agrochemicals
- Agrochem now 85% of segment revenue

High Performance Products (HPP) ~45% of revenue

- Refrigerant gases: R22, R32; HFO plant for Honeywell
- Inorganic fluorides; 4th-gen HFO refrigerants (hydrofluoroolefins)

CDMO / Contract Manufacturing ~15% of revenue

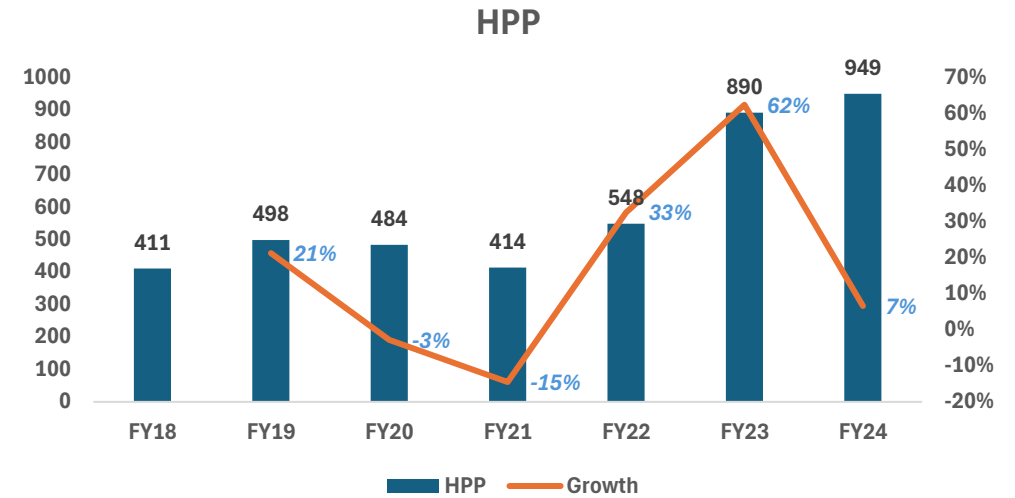
- Contract manufacturing for early-stage & large global clients
- Dedicated fluorine chemistry manufacturing platform

HPP - Refrigerants

Refrigerant details		100 year Global warming potential	
2nd-gen refrigerant	HCFC-22	R22	1,810
	HCFC-142b	R142b	2,400
3rd-gen refrigerant	HFC-32	R32	675
	HFC-134a	R134a	1,430
	HFC-410a	R410a	2,088
	HFC-125	R125	3,500
4th-gen refrigerant	HFO-1234ze		6
	HFO-1234yf		4

Source: Australia's Department of Climate Change, Energy, the Environment, and Water. Note: Navin's presence indicated with bolded text.

- **First & Only Indian HFO Manufacturer:** Captures a high-barrier, 4th-generation market (HFO-1234yf/ze) with very limited global competition.
- **Strong R32 (3rd Gen) Tailwinds:** Demand and pricing are favourable in the near-to-medium term, driven by US and UK quota implementations.
- **R32 Cost & Advantage:** Benefits from one of the lowest GWPs (675) and a highly favourable price gap compared to expensive 4th-gen alternatives.
- **Managed R22 (2nd Gen) Transition:** Legacy R22 demand is expectedly moderating due to regulatory phase-out quotas. R22 is used as a critical chemical intermediate in the pharmaceutical and agrochemical sectors, where demand has continued to remain strong and is not impacted by weather patterns

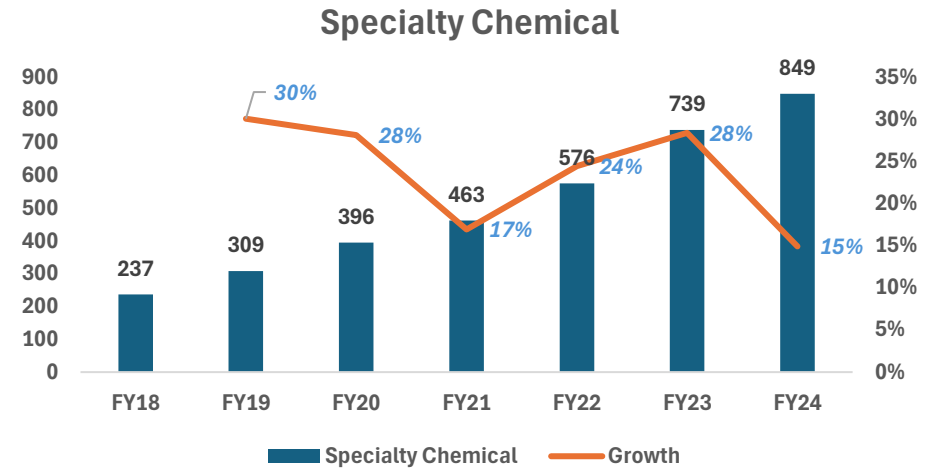


Outlook

- HFO peak annual revenue guidance of ~INR 450 to INR 460 crores remains intact, despite ramp-up hiccups in FY24.
- Management expects R32 to follow a tightening pricing curve similar to what was historically seen with R22 as these international quotas kick in
- Non-emissive R22 applications—primarily used as intermediates in the pharmaceutical and agrochemical sectors—remains strong
- Increased AHF (Anhydrous Hydrofluoric Acid) capacity will also cater captive as well as emerging high-growth areas like EV battery chemicals and the solar sector

Specialty Chemicals

- **Dual Market Focus:** Primarily caters to the domestic pharmaceutical sector and global agrochemical majors, including top industry innovators.
- **Core Product Capability:** Manufactures high-value, fluorine-based intermediates critical for both pharma and crop protection applications.
- **Flexible Commercial Models:** Combines highly stable, long-term supply contracts with a flexible, catalogue-based product portfolio.
- **Balanced Client Reach:** Deploys a hybrid strategy—supplying dedicated single customers via exclusive partnerships while simultaneously serving multiple clients through off-the-shelf catalogue solutions.



Outlook

- Throughout FY24, the segment faced significant macroeconomic headwinds, primarily due to aggressive inventory destocking by global agrochemical majors and intense pricing pressure from Chinese dumping.
- Navin Fluorine is better positioned than many generic players to weather the storm because **65% to 70% of its molecules are patented or innovator-backed**.
- Management expects demand to remain muted in H1FY25 but anticipates **a progressive, gradual recovery in the H2FY25**.
- Historically, the mix was roughly 40% pharma, 40% agrochemicals, and 20% industrial/emerging areas. The company is consciously reducing its exposure to low-margin generic pharma products. Due to this, **AgChem is now 85% of the Segment Mix**.
- The core strategy is to launch 3 to 4 new molecules every year.

CDMO

The segment offers a wide range of services—including non-fluoro projects—from early clinical phases all the way through to commercial manufacturing. This is the highest margin vertical.

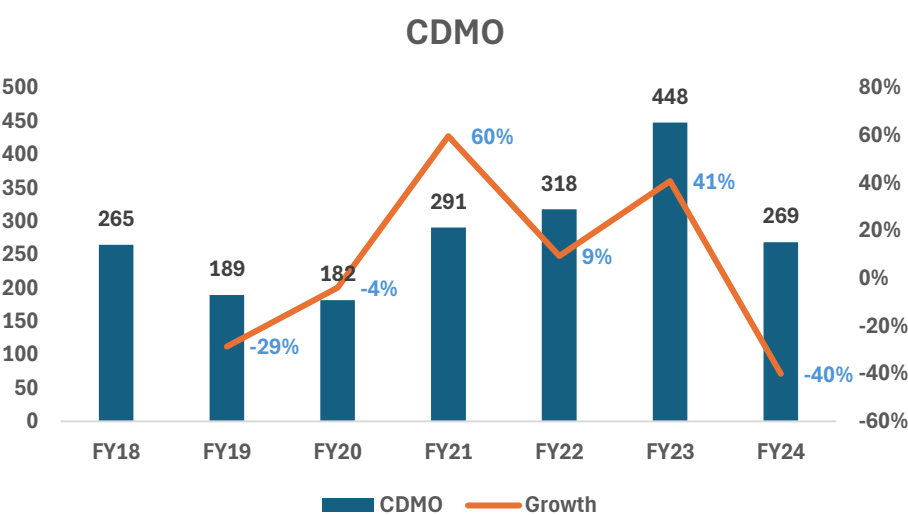
FY24 Challenges

Nature of business being lumpy, Significant sales from a key campaign were deferred due to last-minute changes by a customer regarding product specifications and methods of analysis.

A couple of early-stage molecules dropped off from clinical trials because the data did not meet the defined endpoints

Key Strategy Shift: Historically, Navin Fluorine engaged with customers primarily at the clinical or Phase 1 stages, which led to significant lumpiness in revenues. The company aims to shift its product mix to achieve a 50-50 or 60-40 ratio between commercial and early-stage molecules.

Navin Fluorine expects to reach the \$100 million revenue run-rate in its CDMO business directionally by FY27 or FY28



New Deals

- 1. Fermion:** Navin signed and recently expanded a Master Supply Agreement (MSA) to cover three molecules (two late-stage, one commercial) This multi-year contract is expected to generate approximately \$40 million over a three-year period starting in CY25.
- 2. U.S.-Based CDMO Partnership:** This partner brings early-stage expertise and access to the US market, while Navin provides commercial-stage scale and specialized fluorination capabilities.
- 3. Recent Purchase Orders:** In Q4 FY24, the company successfully completed a validation campaign for a late-stage drug for a UK pharma major, received POs for two new late-stage commercial molecules for US and EU majors, and secured POs for two Regulated Starting Materials (RSMs) for an FDA-approved drug with a US major for delivery in CY25

P&L

NAVIN FLUORINE INTERNATIONAL LTD										
Narration	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Sales	742	913	996	1,062	1,179	1,453	2,077	2,071	2,696	3,306
Operating Profit	159	220	219	268	309	356	550	417	641	839
Profit before tax	182	266	224	258	358	344	496	309	495	676
Tax	45	84	77	-144	111	81	121			
Net profit	137	180	149	409	258	263	375	232	371	507
OPM	21.5%	24.1%	22.0%	25.2%	26.2%	24.5%	26.5%	20.1%	23.8%	25.4%
Growth										
Sales	9%	23%	9%	7%	11%	23%	43%	0%	30%	23%
Operating Profit	35%	38%	0%	22%	16%	15%	55%	-24%	54%	31%
Net profit	64%	32%	-17%	174%	-37%	2%	43%	-38%	60%	37%

Revenue Guidance

1. \$100 million CDMO business by FY27/FY28.
2. Maintaining the ~INR 450 to 460 crore peak revenue guidance for the Honeywell HFO contract

Margin Guidance

1. Management is actively on a journey to take these margins to 20% and above in the near term
2. Over long term, management expects consolidated EBITDA margins to rebound to the historical 24% to 25% range

- Management is improving the mix within Spec Chem segment by removing low margin products and expects recovery from H2FY25. With the strategy to launch 3-4 molecules per year, the company should grow faster than last 5Y run-rate as inventory restocking begins.
- HPP growth is expected led by ramp-up of HFO capacity as well as R32 capacity addition.
- CDMO business is going through a turnaround with focus on increasing commercial mix to reduce volatility. Key deal wins like Fermion (intermediates of darolutamide – API for Innovator drug Nubeqa). Management anticipates that the CDMO business will see visible growth and recovery starting from the H2FY25.

IRR

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- We believe P/S is the most suitable metric here given Sales has not been as volatile as EBITDA & PAT. EBITDA Margin is at one of the lowest in the last 7 years.
- The closest peer in Fluorochem segment is SRF - 5Y TTM median PE of which is ~40. However, SRF has 50% revenue contribution from commodity products and positioning in RefGas is inferior to NFIL. In addition, there is no CDMO optionality as well.
- NFIL's own 5Y median PE is 60 but we assume at ~20% premium to SRF and assign an exit PE of 52.

Key Monitorable: H2FY25E revenue growth pick-up and gradual improvement of margins from 18% to 25% over next couple of years.

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CALL

+91-9538221367
+91-80-41735687



WEBSITE

www.courserpark.com



EMAIL

clientsupport@courserpark.com



PRINCIPAL PLACE OF BUSINESS

“Jai Ganesh”, No 633, IVth Cross, 100’ Road,
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